

In Re Interplay Between Arbitration Agreements & Stamp Act

Citation: (2024) 6 SCC 1 / 2023 INSC 1066 | Court: Supreme Court | Year: 2023

Coram: 7-Judge Constitution Bench (Unanimous) | Subject: Arbitration & ADR | Provisions: Arbitration Act Sec 8 & 11, Stamp Act 1899 Sec 35

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Non-stamping or insufficient stamping of a commercial contract containing an arbitration clause does not render the arbitration agreement non-existent or void ab initio. It is a curable fiscal defect, and the referral court under Section 8 or 11 must refer parties to arbitration, leaving impounding to the tribunal.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Arbitration Act Sec 8 & 11, Stamp Act 1899 Sec 35. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to Arbitration Act Sec 8 & 11, Stamp Act 1899 Sec 35.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Overruled N.N. Global (5-Judge Bench, 2023) and SMS Tea Estates (2011). Harmonized the Stamp Act with the Arbitration Act by applying the doctrine of separability and kompetenz-kompetenz under Section 16. Fiscal deficits are curable upon payment of duty and penalty.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Overruled N.N. Global (5-Judge) and SMS Tea Estates.

â€¢ Ruled that unstamped agreements are not void ab initio, but inadmissible until stamped.

â€¢ Ensured rapid referral under Section 11 without getting bogged down in stamp duty disputes.